

Chapter 2: Sustainable Spending Rates with Fixed Returns and Known Longevity

One of the most hotly contested debates in personal finance is over the safe withdrawal rate for retirement. How much can you expect to spend sustainably from your investments? This question can drive you to madness, perhaps because it brings up a fundamental reality about our existence: we cannot predict the future, especially when it comes to financial markets. We also do not know how long we will live. What do we need to do to be safe?

The problem with trying to determine a sustainable spending rate from an investment portfolio is that retirees must manage a number of different types of risk when deciding how much to spend. The three basic risks for retirees are longevity risk, market risk, and spending shocks. Longevity risk relates to not knowing how long one will live and, therefore, how long wealth must last. Market risk relates to the possibility that poor market returns deplete available wealth and reduce the sustainable standard of living. Spending shocks are surprise expenses from outside the planned budget, such as for long-term care and major health expenses, which require a pool of contingency assets beyond what are being used to support the expected portion of living expenses. Retirement will be cheaper with some combination of a shorter life, strong market returns, and few spending shocks. But retirement could become quite expensive when a long life is combined with poor market returns and significant spending shocks.

To better understand what is at stake, let's take a step back to first focus only on how sustainable spending relates to a known retirement length and a fixed portfolio return. We will not worry yet about longevity risk, market volatility, or spending shocks, because there is still a lot we can learn with a simple framework when lifespan and market returns are fixed and known.

We can use a basic spreadsheet program, such as Microsoft Excel, or a business calculator to understand the basic relationships between sustainable spending, time horizon, and an investment return. All of our